Rasoul Foroughfard

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Education

Arizona State University
Ph.D. in Finance — Tempe, AZ — 2027 (Expected)
Dissertation Committee: Oliver Boguth (chair), Hendrik Bessembinder, George Aragon, Maziar Kazemi

Sharif University of Technology
M.S. in Economics — Tehran, Iran — 2017

Persian Gulf University
B.S. in Economics — Bushehr, Iran — 2014

Research Interests

Asset Pricing, Financial Institutions, Demand Systems

Working Papers

- **Household Demand Dynamics and Equity Mispricing** *Job Market Paper* [PDF]
  Accepted for presentation at the 2027 Southwestern Finance Association Annual Meeting.
  ▷ **Abstract:** Household demand shocks to individual stocks generate larger valuation distortions when the institutional investors holding the stock have lower capacity to absorb the shocks. I measure stock-level absorption capacity as the inverse of the average price elasticity of demand among institutions holding the stock before the shock occurs, and find that limited institutional absorption capacity amplifies the price impact of otherwise similar household demand shocks. Specifically, a household demand shock generates a larger contemporaneous and subsequent price impact when the stock is held primarily by institutions with lower price elasticity of demand. The resulting mispricing is economically meaningful: stocks with higher household demand shocks, and lower absorption capacity earn abnormal returns of about 1.36% quarterly and about 3.90% annually, and this price impact persists for up to three years with a non-monotonically declining term structure.

- **Who Responds to Changes in the Market Risk Premia, and How?** [PDF]
  ▷ **Abstract:** Variation in market risk premia is reflected in the portfolio decisions of only a limited and identifiable subset of institutional investors. Using quarterly 13F holdings, I show that approximately 60% of institutions do not systematically adjust aggregate equity exposure as compensation for bearing market risk changes over time. Among those that do respond, exposure adjustments are highly heterogeneous in both sign and magnitude. To understand what drives these differences in exposure responses, I develop a simple framework in which investment horizons and short-run constraints determine investors' willingness and ability to adjust risk exposure. Consistent with the model's predictions, low-turnover and long-horizon investors, particularly pension funds, are significantly more likely to increase equity exposure when compensation for risk raises. These findings highlight the importance of a limited, identifiable set of investors who shift capital in response to changing risk compensation, while highlighting the lack of systematic exposure adjustment among majority of investors.

- **Investor Demand and Dynamic Characteristic Compensations** [PDF]
  Co-authored with Shuhao Ren.
  ▷ **Abstract:** Standard factor models do not fully explain the compensation gap between persistent and transitory components of firm characteristics. We examine which drivers of investors' portfolio allocation choices

contribute to the discrepancy by decomposing returns of characteristic-sorted portfolios into different demand-driven components: persistent demand shocks, which reflect idiosyncratic drivers such as emotion and liquidity needs, and demand for current and lagged characteristics, which reflect systematic drivers such as investment mandates and trading costs. We find that persistent demand shocks and demand for characteristics contribute significantly and oppositely to the discrepancy. Further, we provide new evidence that investors have a negative correlation between their demand for current and lagged characteristics.

- **Net Buyback Dynamics and Risk** [PDF]
  - ▷ **Abstract:** This paper provides a risk-based explanation for the anomalous returns associated with share repurchases and equity issuance. Unlike dividends, repurchase and issuance cash flows are highly cyclical, exposing investors more strongly to fluctuations in aggregate consumption and marginal utility. I measure this exposure using a firm-level consumption beta based on the covariance between the net buyback-to-dividend ratio and consumption growth. Fama–MacBeth regressions show that firms with higher consumption betas earn higher subsequent returns, consistent with compensation for greater consumption risk. The findings connect corporate payout policy and the buyback anomaly to household hedging motives and the pricing of marginal-utility risk.

Teaching Areas

Behavioral Finance and Financial Decision-Making, Investments and Asset Pricing, Financial Analytics and Empirical Research Methods, Security Analysis and Portfolio Management, Corporate Finance and Valuation, Business Finance and Financial Management, Fixed-Income Securities, Derivatives and Risk Management

Teaching Experience

- **Advanced Managerial Finance (FIN 361)** Summer 2026
  Arizona State University, Undergraduate; Instructor
  Mean Student Evaluation: 6.7/7.0
  Topics: Corporate finance, valuation, capital budgeting, portfolio choice, CAPM, cost of capital, capital structure, payout policy, financial options, and risk-return tradeoffs.
  Teaching tools: Pearson course materials, online assignments, financial-calculator applications, Excel-based examples, and structured practice problems.
- **Security Analysis and Portfolio Management (FIN 421)** Fall 2024
  Arizona State University, Undergraduate; Instructor
  Topics: Portfolio theory, asset allocation, CAPM and multifactor models, market efficiency, performance evaluation, derivatives, fixed income, and yield-curve estimation.
  Applied assignments: Mean–variance analysis, investment-strategy backtesting, portfolio performance evaluation, exotic option valuation, and yield-curve estimation using market data and Excel.
- **Investment Strategies (FIN 525)** Summers 2022–2026
  Arizona State University, MBA; Teaching Assistant
  Facilitated and managed course-related discussions through Yellowdig; answered student questions; posted prompts and financial news; connected course material to real-world developments in investments, fixed income, derivatives, and portfolio management.
- **Theory of Finance (FIN 781)** Falls 2022–2026
  Arizona State University, Ph.D.; Teaching Assistant
  Graded assignments and provided feedback on expected utility, risk aversion, stochastic dominance, mean–variance analysis, arbitrage pricing theory, and option pricing.

Applied Teaching and Instructional Technology

- Use Excel-based modeling, portfolio analysis, structured problem-solving, current market examples, financial-data exercises, and evidence-based recommendations.
- Experienced with Bloomberg Terminal, Pearson MyLab, Yellowdig, financial calculators, and Canvas. online discussion facilitation, and technology-supported assessment and feedback.
- Support students through office hours, individual consultations, timely feedback, and guidance connecting finance coursework with academic and professional goals.

Academic Presentations and Service

- **Presenter (forthcoming)**, Southwestern Finance Association Annual Meeting 2027
- **Discussant**, Financial Management Association Annual Meeting 2025
- **Referee**, *Journal of Financial and Quantitative Analysis*; *Journal of Empirical Asset Pricing*; *Emerging Markets Review*

Awards

- **National Economics Olympiad**, Ranked 3rd among thousands of students 2017
- **National M.S. Entrance Exam**, Ranked 8th among thousands of students 2017

References

Oliver Boguth	Associate Professor of Finance, ASU	oliver.boguth@asu.edu
Hendrik Bessembinder	Professor of Finance, ASU	hb@asu.edu
George Aragon	Professor of Finance, ASU	george.aragon@asu.edu
Maziar Kazemi	Assistant Professor of Finance, ASU	mazi.kazemi@asu.edu